

FEDERAL MARITIME COMMISSION
Office of Administrative Law Judges

BAKERLY, LLC, *Complainant*

v.

SEAFRIGO USA, INC., *Respondent*.

DOCKET NO. 22-17

Served: February 7, 2023

ORDER OF: Linda S. Harris CROVELLA, *Administrative Law Judge*.

ORDER ON MOTION FOR PARTIAL SUMMARY DECISION

I.

A. Complainant's Motion for Partial Summary Decision

On November 22, 2022, Complainant Bakerly, LLC ("Bakerly") filed a motion seeking partial summary decision ("Motion") based on the terms and conditions of the bills of lading and applicable rules in Respondent's Rules Tariff, along with a supporting memorandum and exhibits ("Memorandum"). On December 7, 2022, Respondent Seafrigo USA Inc. ("Seafrigo") filed its opposition to the motion for partial summary decision¹ and exhibits ("Opposition"). On December 14, 2022, Bakerly filed a reply to Seafrigo's opposition to motion for partial summary decision ("Reply").

For the reasons set forth below, Bakerly's motion for partial summary judgment decision is **DENIED**.

II.

A. Background

On July 27, 2022, the Secretary of the Federal Maritime Commission (FMC) served Respondent Seafrigo with the Notice of Filing of Complaint. Bakerly, an importer of refrigerated cargo, alleges that Seafrigo has committed multiple violations of the Shipping Act and has issued detention and demurrage charges that do not comply with 46 C.F.R. § 545. Complaint at 2, 9-14. Bakerly alleges that it has suffered damages in the amount of "at least \$2,973,475.29 as a direct result of Respondents' (sic) repeated violations" by collecting detention and demurrage charges when Seafrigo did not adequately exercise due diligence in picking up and returning containers, and in violation of Seafrigo's "bill of lading and Rules

¹ Respondent styled its response as an opposition to motion for partial summary judgment. Respondent's response will be referred to herein and treated as an opposition to partial summary decision.

Tariff terms....” Complaint at 14. Bakerly also alleges that the Negotiated Rate Arrangements (“NRAs”) and Seafrigo’s “house bills of lading” provided the pricing “on a door delivery basis” and that the terms and conditions in the bills of lading and Seafrigo’s Rules Tariff support its position that Seafrigo is responsible for the detention and demurrage charges, even if Seafrigo is not at fault. Complaint 3-4; 9-11, 14.

On August 22, 2022, Seafrigo, a non-vessel operating common carrier (“NVOCC”), filed an answer to Bakerly’s complaint, denying that it violated the Shipping Act and asserting that a majority of the charges were assessed by third parties and were passed on to Bakerly without mark up and were due to “nationwide congestion that plagued the ocean transportation industry in 2021 and early 2022.” Complaint at 2; Answer at 2, 4. Seafrigo cites to Tariff Rule 6.5(h) to show that it “is not responsible for any cause or event which Seafrigo could not avoid and the consequences of which it could not prevent by exercise of due diligence.” Answer at 2, 6; Exh. 5. Seafrigo also alleges that Bakerly is responsible for some of the detention and demurrage charges because “Bakerly was not in a position to receive the containers either because it lacked space to accept them or because its warehouse operators could not coordinate receipt of the containers.” Seafrigo maintains that Bakerly’s warehousing issues also caused detention charges to accrue. *Id.* In denying that it violated the Shipping Act, Seafrigo cites to multiple Tariff Rules that it alleges support its assertion that it is not responsible for detention and demurrage charges. It further relies on the “terms and conditions of the applicable bills of lading.” Answer at 2, 4-6, 10.

B. Parties’ Positions On Motion for Partial Summary Judgment

Bakerly seeks a partial summary decision finding that the “lawful allocation of risks for the underlying ocean carrier’s demurrage charges...for the door delivery of shipments subject of this proceeding, were legally assumed by Respondent...” It maintains that “pertinent...bills of lading terms and conditions and provisions contained in Seafrigo’s Rules Tariff” clearly establish that as to demurrage alone, there is no triable issue of fact, making partial summary judgment appropriate. Motion at 1; Memorandum at 1-2.

Bakerly’s unnumbered “Statement of Uncontroverted Facts”² states that the NRAs and bills of lading identify Seafrigo as the “Carrier” and Bakerly as the “Merchant” and provide for door delivery. Memorandum at 2; Complaint at 3-4; Complaint Exhibits 3-5. Bakerly asserts that Tariff Rules 15 and 17.2 address demurrage and provide “that the Merchant would be liable when service is to port, and not to door.” In addition to portions of its own complaint and the

² Paragraph 15 of the Initial Order provided: “A party moving for summary decision must include in a separate document a statement of material facts as to which there is no genuine dispute. This document must set forth in separately numbered paragraphs a concise statement of each material fact as to which the movant contends there is no genuine dispute. Each paragraph must be limited as nearly as practicable to a single factual proposition. Each factual proposition must be followed by an exact citation to evidence that the party contends will establish the fact or demonstrate that it is uncontroverted; *i.e.*, a page number in the Appendix. (fn omitted). *See* 46 C.F.R. § 502.70(a). The party filing Proposed Findings of Fact must provide an electronic copy of the Proposed Findings of Fact in a word-processing format to all parties *and to the Office of Administrative Law Judges.*”

exhibits attached thereto, Bakerly cites Seafrigo's Answer at ¶ 4, 7, 11, 13, 22; and Seafrigo's admissions Exhibit C, Nos. 2, 6-8, as support for its position that Bakerly was "not liable for the demurrage charges as a matter of law." Memorandum at 2-5. Bakerly asserts that it paid Seafrigo \$973, 227.05 in demurrage charges and was invoiced but did not pay \$1,384,017.48 in demurrage charges; it does not seek a decision in this motion on the allocation of detention charges as a matter of law. Complaint at 9; Motion at 1-2.

Rather than providing a numerical statement of undisputed facts as instructed in the Initial Order in this case, Bakerly submitted and referenced Attachment A, which includes its complaint, an affidavit by Charles Lefort, who is identified as Bakerly's Vice-President, Supply Chain, a list of demurrage charges, an NRA quote, sample bills of lading, Seafrigo's Rules Tariff, a separate list of demurrage and detention invoices identified as "snowstorm" charges, a spreadsheet comparison between Seafrigo and another non-party company, sample Seafrigo invoices; Attachment B, which is Seafrigo's answer; and Attachment C "Respondent's Response to Complainant's First Set of Requests for Admission."

Seafrigo asserts in its memorandum in opposition to Bakerly's motion that after the motion was filed, Bakerly sent correspondence to Seafrigo "indicating that contrary to the position set forth in its Motion, Bakerly was no longer disputing Seafrigo's right to recover detention and demurrage charges which accrued as a result of port closures due to snowstorms...[or] occurring as a result of Bakerly's deficient warehousing operations." Opposition at 1, fn. 1. This correspondence is not attached as an exhibit, and it is not addressed in Bakerly's reply to Seafrigo's opposition. Seafrigo asserts that Bakerly's interpretation of the Rules Tariff is not only mistaken, but illogical when read in conjunction with the NRAs, which were negotiated terms, rather than boilerplate; other bill of lading terms not cited by Bakerly; and the parties' earlier course of conduct. Opposition at 3-7; Exhibit 1. Seafrigo does not dispute that it is an NVOCC that provided "to door" service for Bakerly; that Bakerly has paid \$973,227.05 in detention and demurrage charges and has failed to pay \$1,384,017.47 that it still owes; that Bakery owes "additional money unrelated to detention and demurrage charges"; and that "the bill of lading contracts and Tariff Rules contain the language cited," but Seafrigo disputes Bakerly's interpretation of that language. Seafrigo further alleges that some of the demurrage charges were due to Bakerly's lack of warehouse space and inability to accept cargo. Seafrigo argues that if the Rules Tariff, bill of lading, and NRAs are construed as according to the risk to it, the goal of ensuring "that detention and demurrage act as a financial incentive to promote the efficient movement of cargo" is defeated, and Bakerly could refuse delivery and "allow demurrage charges to accumulate indefinitely, knowing...it will never bear financial responsibility for its actions." Opposition at 25, citing 46 U.S.C. § 40101(2).

Seafrigo provided a "Supplemental Statement of Undisputed Material Facts" that alleges, among other things, that the parties' course of conduct informs the interpretation of the NRAs, bill of lading, and Rules Tariff and, further, that these documents contain language that allocates detention and demurrage charges to Bakerly unless Seafrigo is at fault. Opposition at 8-17. Seafrigo asserts that since 2018 "the established practice between Seafrigo and Bakerly [was] that Seafrigo would advance funds to third parties, such as terminal operators and VOCCs for detention and demurrage charges and Bakerly would then reimburse Seafrigo for those charges." Opposition Exhibit 1 ¶9, Declaration of Alfonse Raffa. Seafrigo includes in its enumerated Supplemental Statement of Undisputed Material Facts reference to the language in several

sample NRAs with the entirety of those NRAs at Exhibit 2; text of seven bill of lading provisions, with the entirety of the bill of lading found at Exhibit 3; summaries of six Rules Tariff, with the entirety found at Exhibit 4, and thirty-five statements based on Mr. Raffa's declaration found at Exhibit 1. Memorandum at 8-17.

In its reply to Seafrigo's opposition, Bakerly does not address or dispute Seafrigo's supplemental material facts. The reply repeats much of the same argument that the "bill of lading terms and Rules Tariff provisions" establish that "the risk of demurrage charges had been assumed by Respondent acting as a non-vessel operating common carrier ("NVOCC") on door delivery transportation..." Reply at 1. Bakerly acknowledges in its reply that many of the demurrage charges were related to port congestion and that "such charges were in no way caused by either Bakerly or Seafrigo," but the Rules on which it relies "clearly allocate the demurrage and the risk of demurrage to Seafrigo itself when the performance is door delivery (as they are here) and when the demurrage incurred was caused by third parties and outside circumstances, and not by the acts of omissions of either [party]." *Id.* at 2. Bakerly again asserts that Rule 15 and Rule 17 "clearly and unequivocally allocate demurrage risk to Seafrigo" because 15.2 references Merchant liability for detention charges only, and 15.3 addresses Merchant liability for demurrage charges "[w]here service is port at destination" and omits any reference to door delivery. *Id.* at 5. Bakerly argues that the language in Tariff Rule 17 "excepts Bakerly's risk and expense when shipments were door delivery," when the rule is "interpreted alongside Rule 15.3" (footnote omitted).

Bakerly dismisses Seafrigo's reliance on the parties' course of conduct as not applicable "in a regulated context in ocean shipping when it comes to provisions in Rules Tariffs." *Id.* At 7, also citing to *Global Link Logistics, Inc. v. Hapag-Lloyd AG*, FMC Docket No. 13-07 at 24 (ALJ, April 17, 2014) and to *IAP Worldwide Servs. V. UTi United States, Inc.*, Civ. No. 04-4218, 2006 U.S. Dist. LEXIS 4766, at *29 (E.D. Pa. Feb. 8, 2006).

III.

A. Motion for Summary Decision Standard

The Commission has emphasized that:

At the summary judgment stage, the role of the judge "... is not himself to weigh the evidence and determine the truth of the matter but to determine whether there is a genuine issue for trial." *Anderson v. Liberty Lobby, Inc.*, [477 U.S. 242, 249 (1986)]. The party seeking summary judgment ... has the burden of demonstrating that there is no genuine issue of material fact. *Adickes v. Kress & Co.*, 398 U.S. 144, 157 (1970); [10A]Wright, Miller & Kane, [*Federal Practice and Procedure* § 2727, p. 455 (3d ed. 1998)].

EuroUSA Shipping, Inc., Tober Group, Inc., and Container Innovations, Inc. – Possible Violations of Section 10 of the Shipping Act of 1984 and the Commission's Regulations at 46 C.F.R. § 515.27, 31 S.R.R. 540, 545 (FMC 2008).

The party moving for summary judgment bears the initial burden of identifying evidence that demonstrates the absence of any genuine issue of material fact. *Green v. Dalton*, 164 F.3d 671, 675 (D.C. Cir. 1999) (citing *Celotex Corp. v. Catrett*, 477 U.S. 317, 323 (1986)). The mere existence of a factual dispute will not in and of itself defeat an otherwise properly supported motion for summary judgment. *Anderson v. Liberty Lobby, Inc.*, 477 U.S. 242, 247-48 (1986). However, “[w]here the record taken as a whole could not lead a rational trier of fact to find for the non-moving party, there is no ‘genuine issue for trial.’” *Matsushita Elec. Indus. Co. v. Zenith Radio Corp.*, 475 U.S. 574, 587 (1986) (citation omitted). The inferences to be drawn from the underlying facts must be viewed in the light most favorable to the party opposing the motion. *Matsushita*, 475 U.S. at 587.

Even if summary judgment is technically proper, sound judicial policy and the proper exercise of judicial discretion permit denial of such a motion for the case to be developed fully at trial. *Roberts v. Browning*, 610 F.2d 528, 536 (8th Cir. 1979); *New York v. Amfar Asphalt Corp.*, 1986 WL 27582, at *2 (E.D.N.Y. 1986); *In re Korean Air Lines Disaster of September 1, 1983*, 597 F. Supp. 613, 618 (D.D.C. 1984). See also Fed. R. Civ. P. 56 advisory committee notes, 2007 amendments (“there is discretion to deny summary judgment when it appears that there is no genuine issue as to any material fact”).

B. Discussion

In its reply, Bakerly cites to *CMI Distribution, Inc., v. Service By Air, Inc., Radiant Customs Services Inc. (formerly Known as SBA Consolidators, Inc.), and LAS Freight Systems, Ltd.*, 3 F.M.C.2nd 83, 98 (July 26, 2021)³ where the Commission noted that respondent SBA violated 46 U.S.C. § 41104(a)(2) by not having a published tariff (and it did not qualify for an exception). The Commission further noted that respondent SBA was “not eligible to use NSAs and NRAs” and what it referred to as “tariffs” “did not specify rates for detention or demurrage, and...were not published in any event.” *Id.* The Commission added that “pass-through charges must still appear in a tariff.... Similarly, NRAs must provide information about pass-through charges to shippers. 46 C.F.R. § 532.5(d)(2).” *Id.* at 98-99. Bakerly asserts that Seafrigo “is obligated by law to only operate under the demurrage terms as provided in its Rules Tariff for door delivery service....” Reply at 12. Seafrigo does not deny that it must publish a tariff that includes rates for detention and demurrage, but it asserts that Bakerly is newly interpreting two rules of the Rules Tariff in a manner that “not only contradict the unambiguous language of the individually negotiated NRAs, [but also] would contradict numerous other provisions in Seafrigo’s bill of lading terms and conditions.” Opposition at 22.

Bakerly’s reliance on *CMI Distribution, Inc.*, is misplaced. There, the respondent did not have a published tariff and accordingly was not eligible to use NRAs. The Commission’s finding that the published tariff must include information about pass-through charges, and that those charges must also appear in the NRAs, contradicts Bakerly’s argument that one need not

³ Bakerly provides a citation to 2018 WL 1757670 at *14-15. The Initial Decision in this case issued on May 24, 2019, and the Order Affirming-in-Part and Reversing-In-Part issued on July 26, 2021; the final decision is what is cited above. Both parties are reminded to provide the FMC citation or to cite to Lexis as instructed in the initial order.

look beyond the portions of Rule 15 and Rule 17 that it cites to find that Seafrigo is legally obligated to assume demurrage charges no matter the fault.

Bakerly further argues that the clear language of the Rules Tariff at 15 and 17 allocates demurrage costs to Seafrigo, and because Seafrigo admits the language of the Rules, there is no genuine issue of material fact. Memorandum at 8-11; Reply at 13; Opposition at 8 (admitting the language cited by Complainant and denying its interpretation). While Bakerly argues that “when ‘language of a contract is clear, summary judgment is appropriate,’” it simultaneously argues that Rule 15.2 is not clear as it “only applies to detention and mistakenly and inconsistently includes ‘demurrage’ charges relating to detention” and “Rule 9.4 uses the word ‘demurrage’ but the rule only applies to detention because it refers to Merchant returning the devanned containers.” Memorandum at 9-10. Thus, while Bakerly moves for a determination that the language in the Rules Tariff is unequivocally clear as to demurrage and Bakerly is therefore entitled to partial summary judgment as a matter of law, it simultaneously asserts that other portions of the Rules Tariff should be disregarded, or words excised.

In addition, both parties rely on the Rule 17.1 yet read it differently.

Merchant acknowledges and agrees that Carrier, as an NVOCC, does not own or operate equipment (i.e., chassis or containers). Merchants use of chassis and containers shall be subject to the requirements of the VOCCs and/or chassis leasing companies that own and/or operate the containers and chassis used to transport Merchants cargo. Merchant, by tendering shipments to Carrier for transportation, appoints Carrier as its agent for acquiring containers and chassis for such transportation and agrees to free time, as well as demurrage and detention, storage and other charges that accrue with respect to containers and chassis used for such transportation, all of which shall be for the account of the Merchant except to the extent solely attributable to actions or omissions of Carrier.

Memorandum at 10; Opposition at 12 and Exhibit 4; Reply at 7; Complaint at ¶ 13 and Exhibit 5.

Bakerly reads Rule 17.1 as carrying “an exception for door deliveries because a door delivery makes the Carrier liable for demurrage....” Memorandum at 10. It advances this interpretation based in part on Rule 17.2:

Except as otherwise specifically provided in this Tariff Rule, and Carriers bill of lading terms and conditions, the following shall be at the Merchants risk and all expenses in connection therewith shall be for the Merchants account:

1. The pickup, transport, and delivery of the containers/good moving between the port of loading or port of discharge on the hand, and Merchant’s facility on the other hand, except to the extent the goods are door cargo; and
2. The care and custody of equipment.

Memorandum at 10-11; Reply at 7-9.

Seafrigo, contrary to Bakerly, states that the language of Rules Tariff 17.1 means that unless the carrier (Seafrigo) is at fault, the merchant (Bakerly) is agreeing to pay for the equipment, transportation, demurrage and detention, storage, and any other charges that the carrier, as it's agent, acquires or sustains "for the account of the Merchant." Opposition at 20. As noted above, Seafrigo states that Rule 15 and Rule 17 must be read in conjunction with other rules, with the bill of lading, and with the NRAs, to understand the allocation of demurrage. Further, the parties' course of dealing establishes that Bakerly's interpretation of Rule 15 and Rule 17 raises a genuine issue of material fact.

In *Global Link Logistics, Inc. v. Hapag-Lloyd AG*, FMC Docket No. 13-07 at 24 (ALJ, April 17, 2014) the complainant alleged that the parties had previously adjusted the negotiated rates in their service contracts and respondent violated the Act by not agreeing to renegotiate rates in their 2012 service contract. Both Bakerly and Seafrigo rely on this case. Seafrigo cited to *Global Link Logistics* to support its position that the parties' course of dealing regarding their contractual obligations creates a genuine issue of material fact:

"[w]hether the parties' course of dealing or that of the ocean transportation industry in general imposed a requirement on Hapag-Lloyd to reduce rates established by the 2012 Service Contract is a question for the trier of fact." See *IAP Worldwide Servs. V. UTI United States, Inc.*, Civ. No. 04-4218, 2066 U.S. Dist. LEXIS 4766, at *29 (E.D.Pa. Feb. 8, 2006) ("The parties' course of conduct creates a jury question regarding whether the parties intended that the T&C was limited to the territory.").

Opposition at 24.

In *Global Link Logistics*, the presiding officer dismissed the complaint finding that whether respondent "breached its duty to reduce rates" was inherently a contract issue that was not within the Commission's jurisdiction and did not "'involve elements peculiar to the Shipping Act,'" citing *Cargo One, Inc. v. COSCO Container Lines Co., Ltd.*, Docket No. 99-24, 28 S.R.R. 1635, 1645, 2000 FMC LEXIS 14, *32 (FMC Oct. 31, 2000) (full citation not in original). *Global Link Logistics*, *supra* at 24. Factually, *Global Link Logistics* differs from the instant case in that the complainant argued that the course of conduct between the parties, rather than the service contract itself, created an expectation that respondent would negotiate rate reductions. The ALJ found that the Shipping Act "does not impose a corresponding requirement on a shipper to renegotiate...." *Id.* at 22. There was no refusal to deal or negotiate in violation of § 41104(10); the parties had negotiated a service contract, and respondent would not agree to renegotiate it when rates fell. Whether the parties intended for rates to be adjusted "through their course of dealing in the earlier service contracts...[presented] questions of fact and interpretations of the service contract—that the Act and the 2012 Service Contract require to be answered by an arbitrator. 46 U.S.C. § 40502 (cite to service contract omitted)." *Id.* at 24. Here, while Seafrigo raises course of conduct in part to explain why Bakerly's interpretation of the Rules Tariff is incorrect, it also relies on the NRAs to support its argument that the negotiated contractual terms allocate demurrage costs to Bakerly and that disagreement as to the meaning of these terms creates a factual issue that makes summary decision inappropriate.

Bakerly cited to the same page of *Global Link Logistics* to support its argument that there course of conduct does not apply in the regulated shipping industry, and only the Rules Tariff need be considered. Reply at 7. This reading of the case is too narrow. Ultimately, the ALJ granted respondent's motion to dismiss, and in the section cited by both parties in the instant case, found that the Commission did not have jurisdiction to decide service contract violations. *Id.* at 23. *Global Link Logistics* settled prior to Commission review, so it is not binding, but it is instructive regarding contractual disputes raising factual issues.

At this stage of the proceeding, it is not appropriate to make findings on genuinely disputed facts. Here, the meaning of the Rules Tariff regarding demurrage is disputed; Bakerly urges a finding that the words of the published Rules Tariff alone "unequivocally" allocate demurrage to Seafrigo, and Seafrigo argues that they do not, as demonstrated by other rules in the tariff, the bill of lading, and the negotiated NRAs. If the allocation of demurrage charges in door deliveries was clear based on the Rules Tariff 15 and 17, then it would not be necessary to revise and remove terms from 15.2 and 9.4 as Bakerly also urges. However, the most telling argument that both parties make is regarding Rule 17, where both assert that the plain language of the rule supports their position, which raises an issue of fact that is appropriate for adjudication. Bakerly has not met its initial burden of identifying evidence that demonstrates the absence of any genuine issue of material fact as required by *Green v. Dalton*, *supra* at 675 (D.C. Cir. 1999).

Accordingly, for the reasons stated above, it is hereby

ORDERED that Complainant's Motion for Partial Summary Decision be dismissed.

The Scheduling order served on September 15, 2022, was revised by Order on Joint Request for Extension of Discovery Deadline issued January 12, 2023, to allow the parties to pursue mediation before the Commission's Office of Consumer Affairs and Dispute Resolution Services (CADRS). The deadlines in the January 12, 2023 order remain in place with a joint status report due on February 20, 2023.



Linda S. Harris Crovella
Administrative Law Judge